

The Wall Street Investor

(1962)

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On Monday, May 28, 1962, prices on the New York Stock Exchange crumbled rapidly before an avalanche of sell orders. The Dow-Jones industrial average plunged nearly 35 points to register its biggest one-day drop in over 32 years. Crashing through the 600 level for the first time since 1960, it hit a day's low of 576.93.

By the end of the day, many big-board stocks were selling at prices from 30 to 80 percent below their 1962 highs. Shares traded on the American exchange and over-the-counter markets followed suit and also went into nosedives. Headline writers were quick to respond to the developments being reported by the lagging ticker:

BLACK MONDAY PANIC ON WALL STREET
INVESTORS LOSE BILLIONS AS MARKET BREAKS
NATION FEARS NEW 1929 DEBACLE

Such were the scare heads that appeared on the front pages of the nation's newspapers after the New York Stock Exchange closed for the day. By the time later editions came off the press, experts and analysts, economists and pundits were offering their explanations, hindsight diagnoses and spur-of-the-moment prognostications. As is often the case in